KEL142

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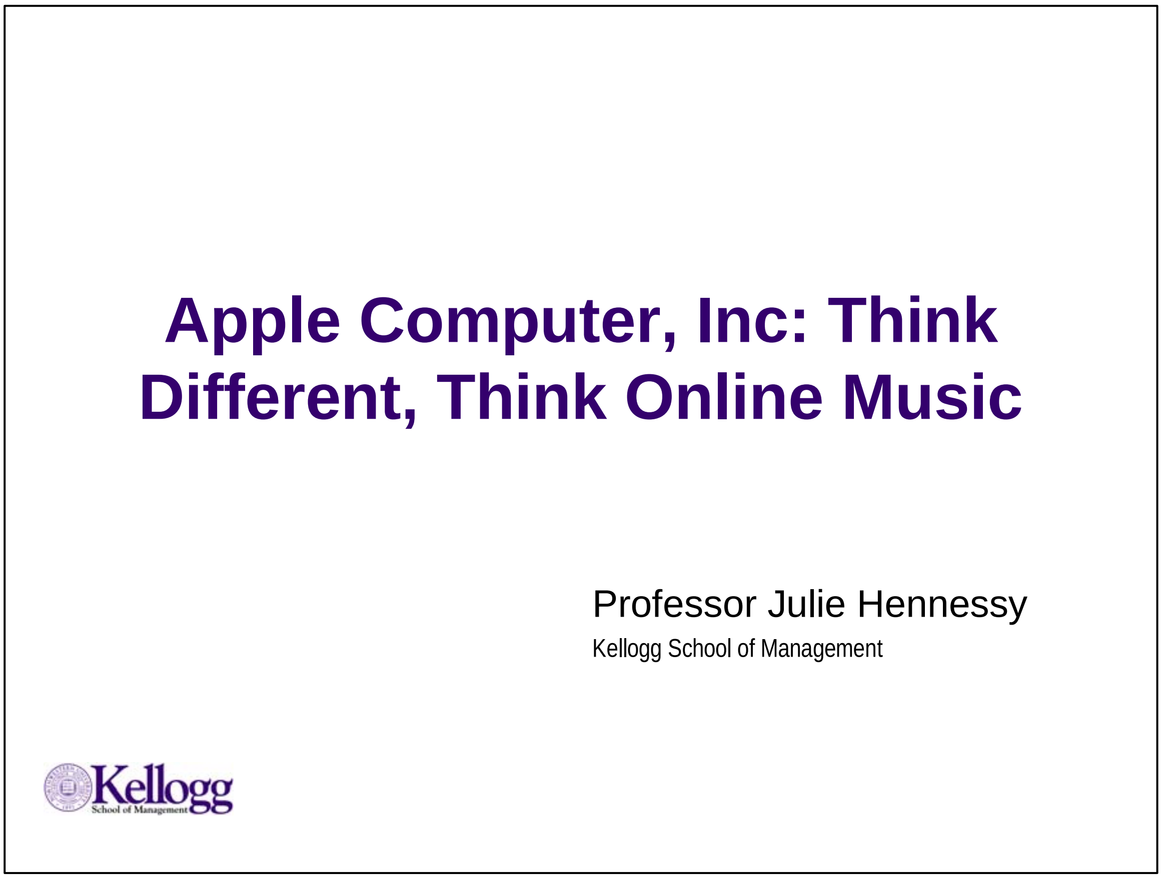
Teaching Note:
Apple Computer, Inc.: Think Different, Think Online Music

The following slides and notes accompany the case “Apple Computer, Inc.: Think Different, Think Online Music.”



Apple iTunes—What You Should Pay Attention To

- Use of new products to build established businesses
- Understanding an equity and its strengths and limitations
- Organization goals and their implications for product design and staging
- Channel partner incentives and their role in building a successful strategy

- The case provides an opportunity to:
  - Discuss the role of new products in building established businesses.
  - Discuss how the goals of an organization must be reflected in execution.
  - Discuss what associations the Apple equity brings, with different potential targets, and implications for its use to meet organization’s goals.
  - Consider hardware and software issues, product staging issues
  - Consider the points of view of other players—artists, music companies, software and hardware competitors, and potentially strategic partners—to achieve success and reach goals.

Highlights of Apple History

- Models for maximizing profit on an operating system vs. a differentiated hardware device
  - Commonality of strong design
  - Cost structures
  - Role of network externalities
  - Pricing strategies
  - Role of licensing
- Implications of "closed system"—bundling operating system and hardware

❖ The team with the best product always wins, right?

- ➢ Why didn't this happen?
- ➢ Have Apple's results so far fulfilled Jobs's vision/goals? Have students discuss what they think went wrong

❖ Discuss the different dynamics of success in the operating system business vs. a highly differentiated (product leadership) hardware business

- ➢ Both products share some aspects of elegant "design"
- ➢ Operating system (OS)
  - High fixed cost/low variable cost
  - Switching barriers—significant learning curve on use, especially for new computer users
  - Network externalities—like to use what others use (even more after Internet applications grow)
  - Incentive to price low and gain volume, to become the standard
  - Operational excellence
  - Potential incentive to share the OS

- Beautifully designed hardware
    - Higher variable cost
    - Fewer network externalities
    - Incentive to price high and earn variable margin
    - Keep innovations proprietary
    - Product leadership

- Bundling implications
    - High price on the whole system—have to carry full R&D cost of OS on a small volume base

Highlights of Apple History (cont'd)

- Target
- Steve Jobs as a leader
- Steve Jobs's goals
- Evaluation of results
- Contrast between market share and strength of brand
  - What does this brand stand for?
  - Awareness vs. likeability vs. purchase interest vs. market share
  - Apple and the "amicable divorce"

- Choice of "education" target vs. "business" target
  - Market pioneers look for high-benefit/low-risk targets
    - Early computer uses—spreadsheets, data manipulation, data storage
    - Business and higher education were first markets—not home or lower education
    - Business a lot bigger, and had tech support
    - Competing (inferior) OS ended up in the bigger market with switching barriers and network externalities

- Easy to say Jobs should have de-bundled and licensed the software
  - Look at profile of the man—brilliant designer, high need for control, bias for functioning without outside design input

- Goal from the beginning:
  - Passionate personal quest to make this company "insanely great"
  - Steve's comments about Bill Gates: "I wish him the best, I really do. I just think he and Microsoft are a bit narrow. He'd be a broader guy if he had dropped acid once or gone off to an ashram when he was younger."

- Results disappointing; experience with having others run the company (John Sculley and Gilbert Amelio) reinforced his sense that he was the only one who could lead.

- Shares of the worldwide PC market:
  - 1984: 9.4%
  - 1993: 9.4%
  - 2003: 1.8%

- Did establish a beloved brand:
  - Brand meant “cool, user-friendly, sleek”
  - Great at making complex technology simple
  - Brand also meant “standalone, incompatible with Windows”
    - Some ads reinforced this (old print campaign)
  - Universal awareness
  - Low purchase interest but high likeability—“I wish I could buy one of those, but I’ve got to buy one of these”
  - Ex-users left reluctantly—for compatibility

What Are the Implications for iPod and iTunes?

- Goal
- Branding
- Target dimensions
  - Apple users/past users/nonusers
  - Downloaders or not/frequency
  - Age
  - Need for ease of use
  - Comfort with process difficulty

- Goal is big
  - Jobs wants to "be Microsoft" in a newly defined category
    - Hub and power holder in the newly defined music production and distribution chain
    - "Entertainment," not "music"
    - Big role in a larger universe definition
  - iPod is a margin maker that can "compete without the 5% ceiling"
  - Purpose of iTunes is to sell iPod

- Branding—need subtle but not explicit link to Apple
  - More like Mini-Cooper or Lexus than Marriott Courtyard
  - Want the aura of "cool" and expectation of great user experience and aesthetics
  - Can't kick in the concerns about compatibility

- Target—May want a broad target, but need to find a sweet spot
  - Not Apple users—they are almost a given; just can’t offend them
  - Maybe past users are a way to start penetrating Wintel world, but they may be too old
  - People who download or not; how often they download
  - People who think it’s wrong
  - People who need hand-holding

What Are the Implications for iPod and iTunes? (cont'd)

- Introductory Benefit
  - Grow the category
  - Attract different targets
  - Differentiate from other competitors
- Product
  - Hardware
  - Software standards issues

- Possible benefits
  - iPod
    - Needs category sell benefit—early player
    - Using: 10,000 tunes in your pocket
    - Not yet focused on why their device is better
  - iTunes
    - Lots of options here
    - Legal way to download—downloaders and non
    - Easy to do—convenient storage—downloaders and non
    - No restrictions/subscription download—only appeals to downloaders concerned enough about legal to look to other purchase sites
    - Music selection—again, an issue for those already opting into paid sites
    - Access to new artists

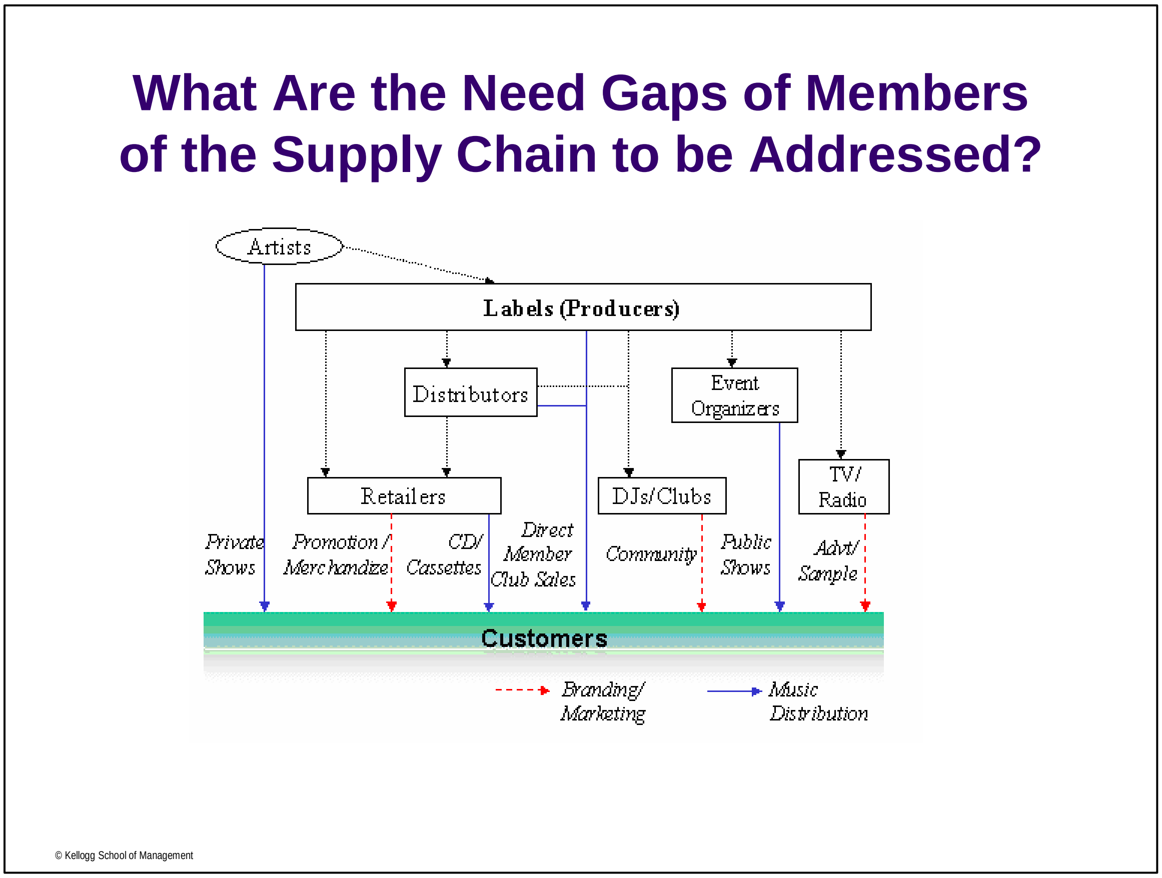
- Issues
  - Still in primary demand mode for devices, stay at category benefit, let superior design/ease of use speak for itself—10,000 tunes in your back pocket
  - iTunes—60 million have downloaded, but most adults have not. Can't win against free on value; don't position against it. Let outside press do the work on "legal" benefit—it's not cool/consistent with brand positioning—world's best digital musical jukebox—conveniently browse, search, preview, and buy

- Metrics
  - Apple users 8 million, past Apple users 25 million, Wintel users 400 million

- Hardware issues
  - Keep it simple—no unnecessary features
  - Will need a steady set of improvements to keep ahead of copycats
  - Big issue is staging of Mac version 10/01 and Windows 7/02
  - iTunes Mac 4/03; Windows not until 10/03

- Software
  - Software functions
    - Security/compression of files
  - Platform issues
    - Apple
    - Microsoft
    - Real Networks
    - Sony

- Right now:
  - iPod can only download from iTunes and iTunes can only be downloaded onto an iPod
  - Okay that iTunes can only be downloaded onto an iPod (force purchase of iPod)
  - Want iPod to be able to download from Microsoft software format–based sites (WalMart 88 cent site)



❖ If we want to be the world's best jukebox, whose cooperation do we need?

➢ Who was the power hub of the channel before?

❖ Big 5 music companies:

➢ Are the powerhouse in the middle of fragmented artists and retailers/consumers

➢ Make artists produce songs in "batches" of produceable/promotable quantities

➢ Take away most of the margin except for a few hot artists

➢ Make consumers buy "fill" with the "hits"

➢ Make most of the margin

- Best Buy buys new releases at $11+, sells for $11.99 (9% margin); it buys standard items at $10 to $11, sells for $14.99 (33% margin)
- Artists make 0.6% of the retail price of an album

❖ iTunes pricing at $0.99

➢ Royalty to music company $0.70 × avg. 14 tracks/CD = $9.80

➢ Music companies should love this—same margin as CDs, and if it slows free downloads it's huge

➢ Want pay sites to work, but do not want one powerful distributor

➢ Big 5 will license to everyone

What Can Go Wrong?

- Hardware/software competitors
- Labels issues
  - How big would they let iTunes become?
  - Viability assessment of the paid download market

- Microsoft licensing to 60 player manufacturers and developing powerful alliances with partners like Wal-Mart on setting up file purchase sites.

Recent Execution (2004)

- Still a closed loop between Apple software and iPod
- But other moves to go big and broad:
  - Pepsi tie-in
  - HP deal
  - AOL partnership
- New Products: iPod Mini, iPod Shuffle, iPod Nano, and iPod Video

❖ Shuffle: Why introduce Shuffle at $99 when you cannot fully meet demand for Mini at $249? Discuss what conditions have to be met for this to be a good move. How can this be incremental rather than cannibalistic?

❖ Nano and Video iPod: Interesting decision to take Mini off the market while still wildly popular and replace with Nano and Video iPod.

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